ARC RESEARCH · WEEKLY MARKET UPDATE

# Tech blinks, the Dow holds

AI debt fears hit CoreWeave and chips; oil tops $100; Treasuries rally

Week of October 12–16, 2026 · Data as of Friday’s close

Educational purposes only, not investment advice.

AGENDA

# Four sections this week

| | | |
|---|---|---|
| 1 | **Macro**<br>Inflation, the Fed, bank earnings | **Slides 3–9** |
| 2 | **Markets**<br>Stocks, Korea, CXMT, Treasuries, France, oil, rigs | **Slides 10–20** |
| 3 | **AI**<br>CoreWeave, chips, TSMC, Anthropic, DeepSeek, Meta | **Slides 21–34** |
| 4 | **Week ahead**<br>Tesla, earnings, France, Fed and ECB | **Slides 35–37** |

Also: Sources, slide 38

SECTION 1 OF 4

# Macro

Hot inflation, a Fed that won’t commit, solid banks

COMING UP

4 US inflation: CPI 3.7%

5 Data vs expectations

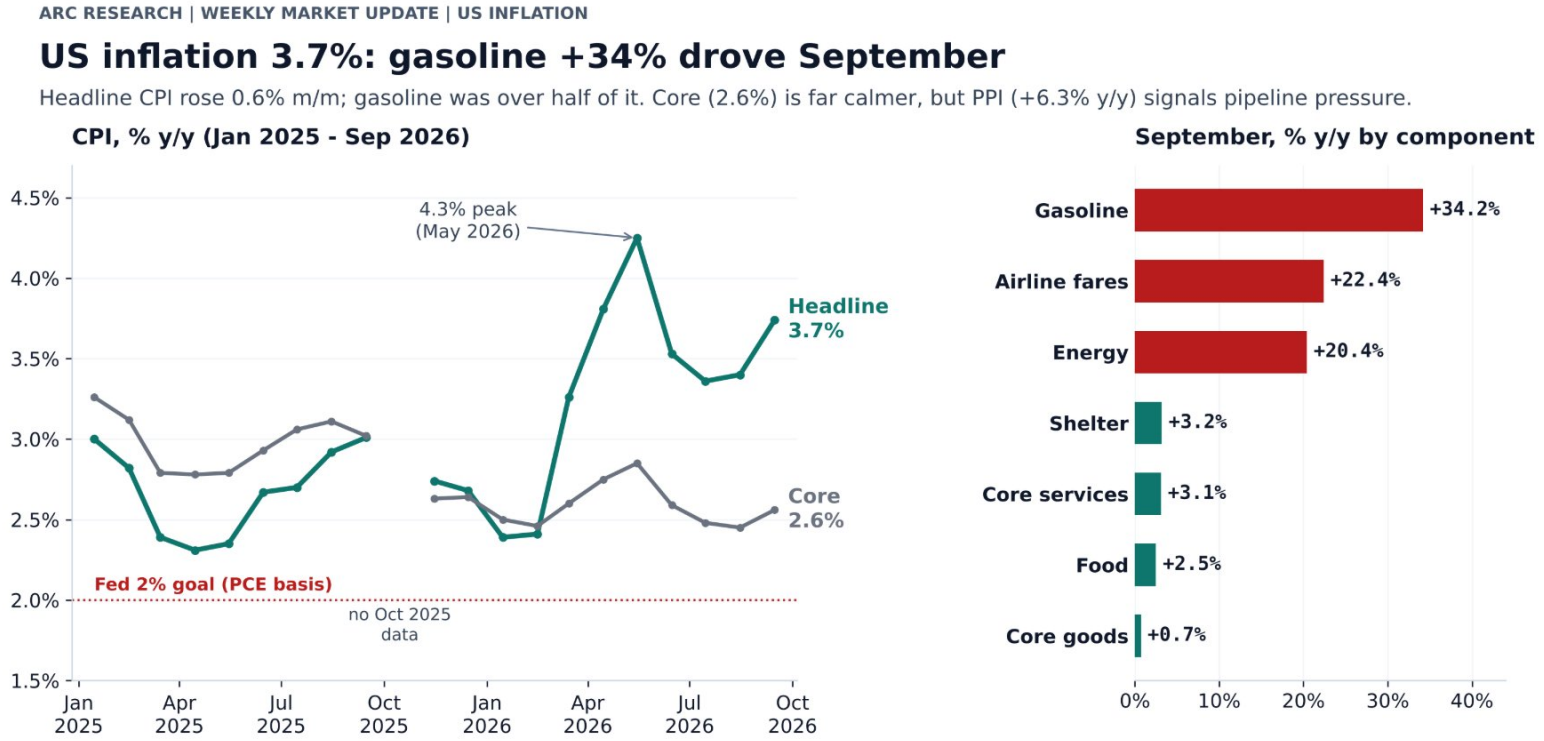
6 Warsh in Bangkok, Fed speakers

7 Q3 bank earnings

8 Bank trading revenue

9 Banks on the economy and consumer

# CPI 3.7%: gasoline drove September



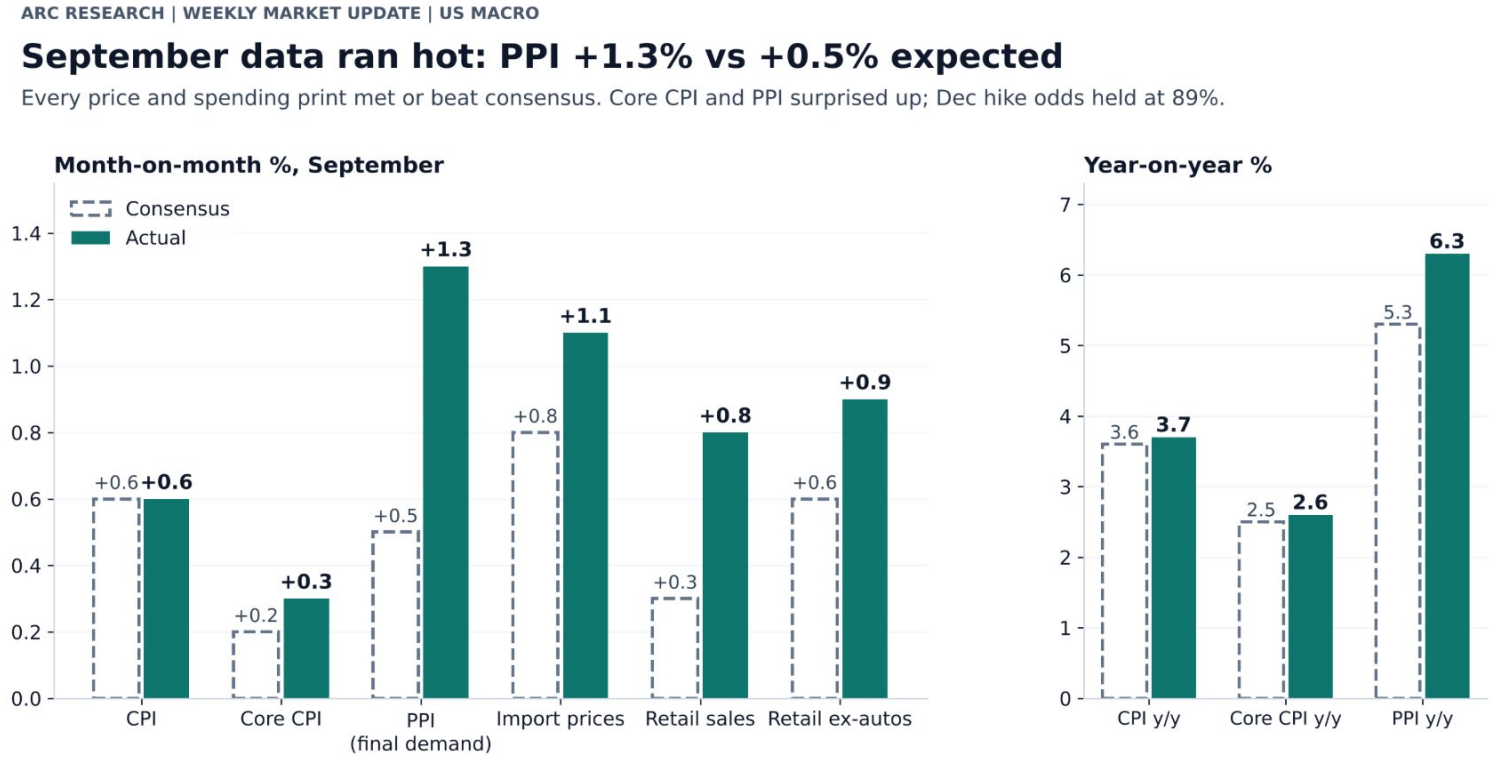

## SO WHAT

Gasoline: over half of +0.6% m/m

Core 2.6%; core PCE 3.0%

PPI 6.3%: more in the pipe

# September ran hot: PPI +1.3%




## SO WHAT

CPI 3.7% y/y, PPI 6.3%

Consumers still spending

Dec hike odds 89%

MACRO · THE FED

# Warsh won’t pre-commit; hawks warn on CPI

CHAIR WARSH · BANGKOK, OCT 16

## “I don’t prejudge meetings”

Oct and Dec decided at the meetings

Data broadly in line with Fed view

“Synchronous tightening”; AI jobs shift “very bumpy”



MARKET PRICING, OCT 16

**89%**

December hike odds

October: ~15–28%

**Daly · San Francisco**

More hikes likely; no rush in October

**Goolsbee · Chicago**

CPI “discouraging”; watch overheating

**Barkin · Richmond**

CPI higher than hoped; no Oct call

**Beige Book (Oct 14):** activity flat to modest; oil lifting prices in every district

MACRO · Q3 BANK EARNINGS

# Trading houses beat; big lenders missed

| | Bank | EPS vs estimate | Revenue vs estimate | Verdict |
|---|---|---|---|---|
| Goldman Sachs | **Goldman** | $17.01 vs ~$13.4 | $18.68B vs ~$16.9B | **Beat** |
| MS | **Morgan Stanley** | $3.03 vs $2.91–3.01 | $20.34B vs ~$19.9B | **Beat** |
| Citi | **Citigroup** | $2.85 vs $2.67 | $23.85B vs $23.72B | **Beat** |
| WELLS FARGO | **Wells Fargo** | $1.87 vs $1.85 | $21.87B vs $22.30B | **Mixed** |
| JPM | **JPMorgan** | $5.57 vs $5.90 | $50.17B vs $51.22B | **Miss** |
| | **Bank of America** | $1.08 adj. vs $1.10 | $29.96B vs $30.58B | **Miss** |

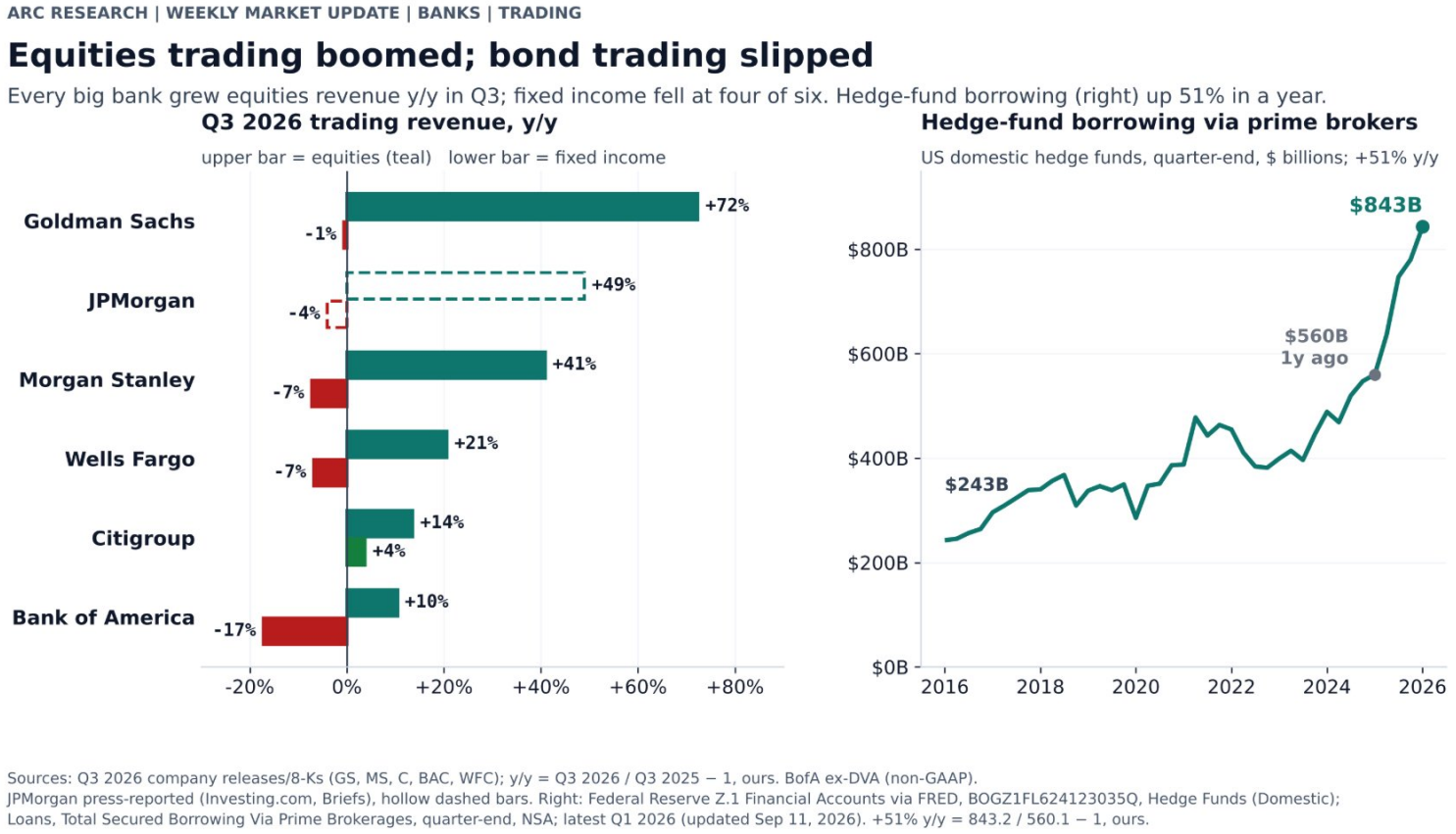
## SO WHAT

Volatility paid traders

Lending revenue soft

Financials +1.4% on week

# Equities trading boomed, bonds slipped




Sources: Q3 2026 company releases/8-Ks (GS, MS, C, BAC, WFC); y/y = Q3 2026 / Q3 2025 − 1, ours. BofA ex-DVA (non-GAAP).
JPMorgan press-reported (Investing.com, Briefs), hollow dashed bars. Right: Federal Reserve Z.1 Financial Accounts via FRED, BOGZ1FL624123035Q, Hedge Funds (Domestic); Loans, Total Secured Borrowing Via Prime Brokerages, quarter-end, NSA; latest Q1 2026 (updated Sep 11, 2026). +51% y/y = 843.2 / 560.1 − 1, ours.

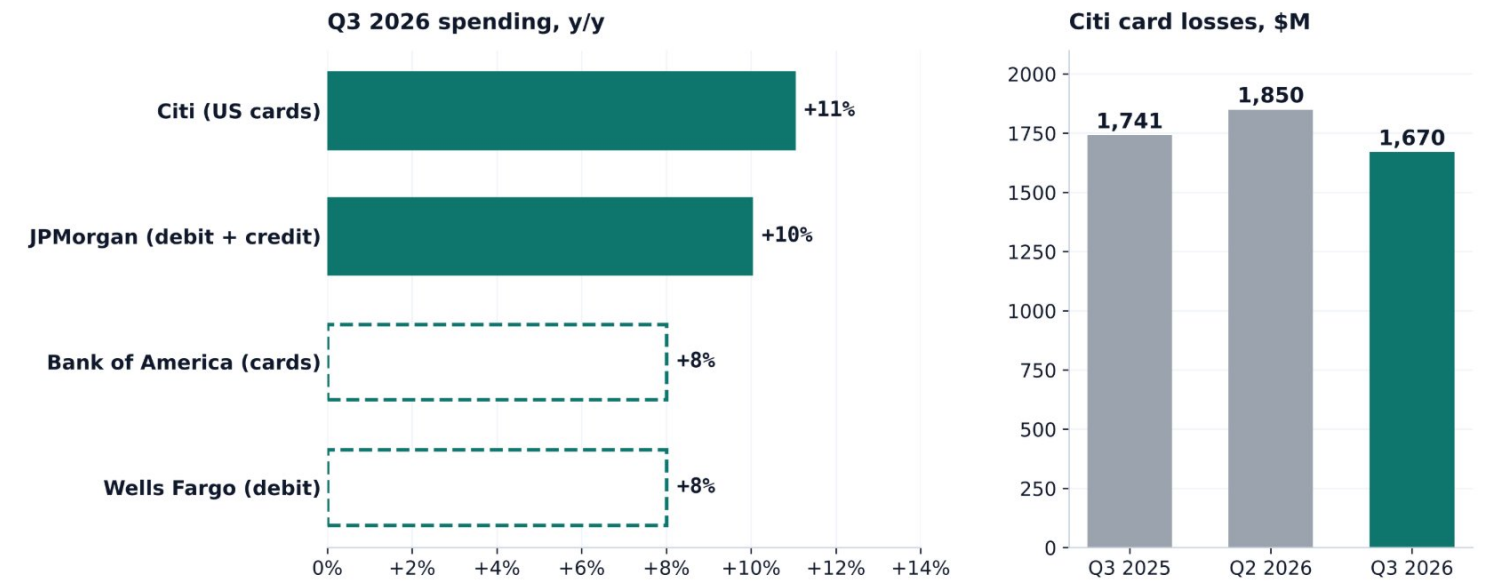
## SO WHAT

Goldman equities +72%

Hedge-fund leverage $843B, +51%

Leverage cuts both ways

# Banks: consumers spending, credit holding




Sources: card and debit spend y/y - JPMorgan and Citigroup Q3 2026 releases; Bank of America (press-reported) and Wells Fargo (earnings call, transcript summary) shown hollow/dashed. Metrics differ by bank (card sales volume vs card spend vs debit spend).
Citi US branded + retail cards net credit losses, $M: Citigroup Q3 2026 release (Q3 2025 $1,741M; Q2 2026 $1,850M; Q3 2026 $1,670M). Change vs Q3 2025: 1,670 / 1,741 − 1 = −4%, ours.

## WHAT CEOS SAID

**JPMorgan:** consumer healthy; credit tightened a bit

**Wells Fargo:** customers doing well; rates, oil risks

**Citi:** outlook positive; Q3 softened

**Goldman:** economy very resilient

SECTION 2 OF 4

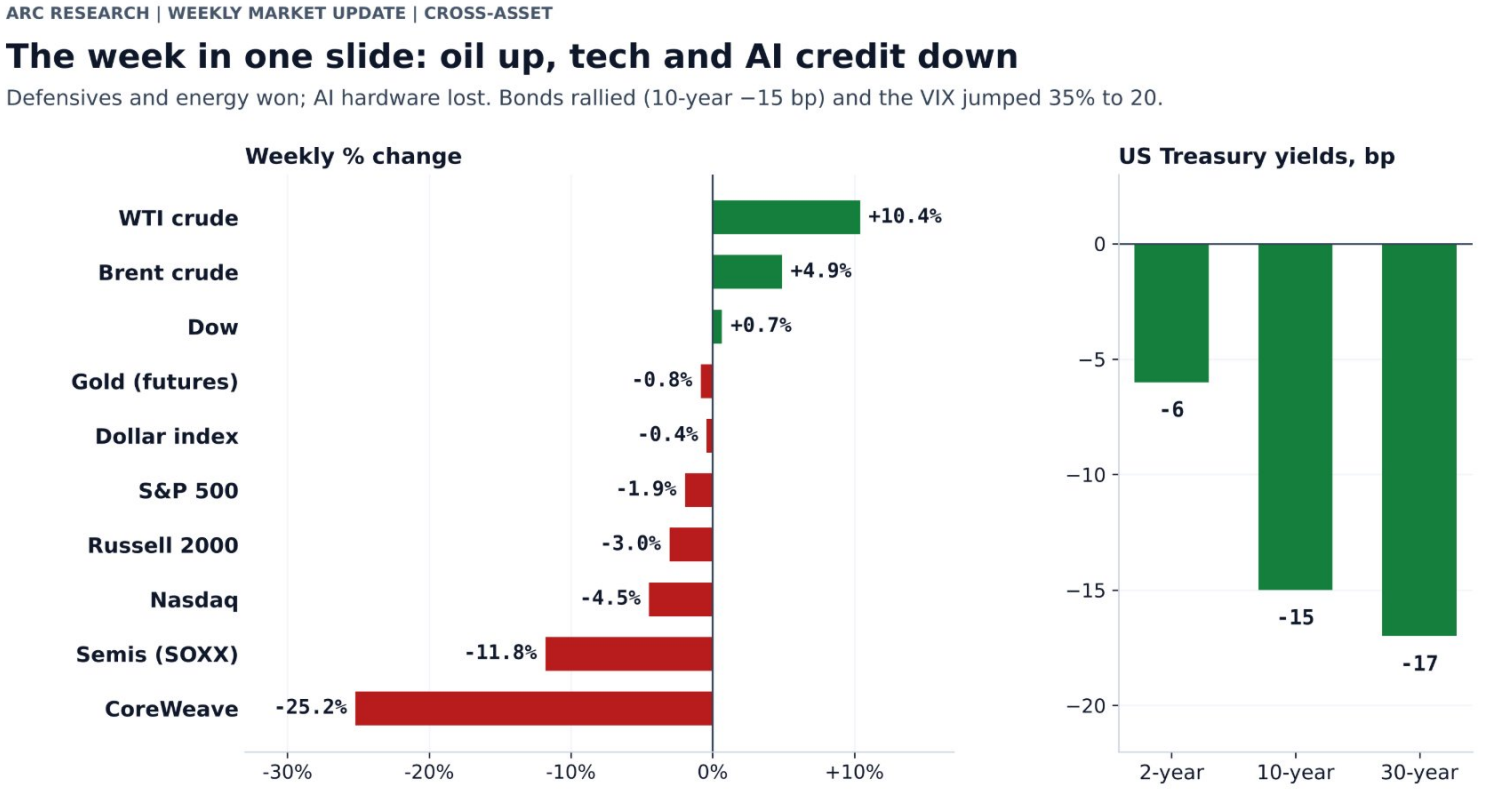
# Markets

Out of tech, into defensives and oil

COMING UP

11 The week in one slide
12 Nasdaq’s worst week since June
13 Sector rotation
14 South Korea’s chip rout
15 Why Samsung and SK Hynix fell
16 CXMT: China’s DRAM challenger
17 Treasuries rally
18 France’s fiscal squeeze
19 Oil above $100
20 Baker Hughes oil rigs

# Oil up, tech and AI credit down




## SO WHAT

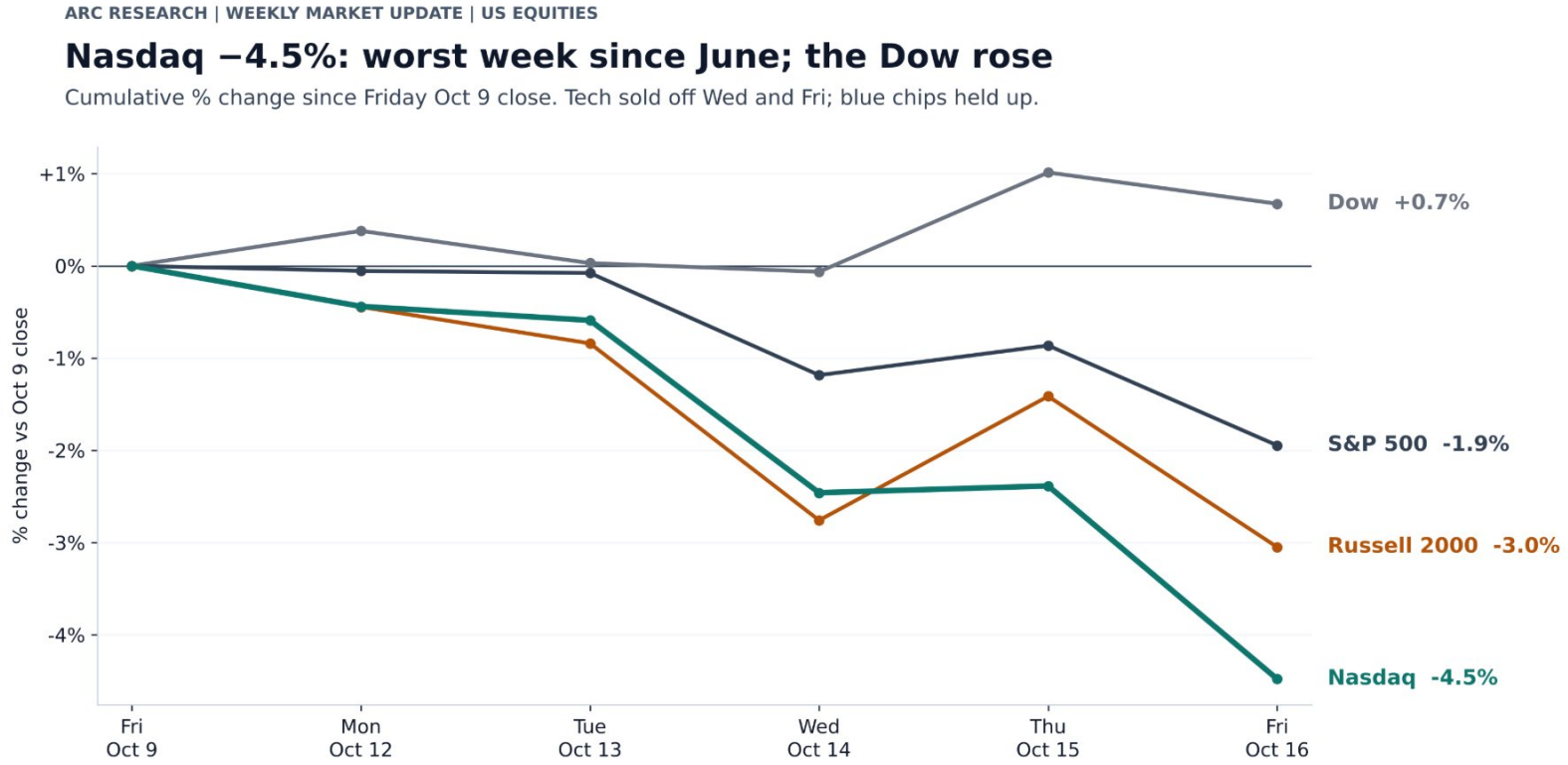
WTI +10%: oil the week's winner

CoreWeave −25%, semis −12%

Bonds rallied; VIX up 35% to 20

MARKETS · US EQUITIES

# Nasdaq’s worst week since June




Source: Associated Press daily closes ("How major US stock indexes fared"), Oct 9-16, 2026; cross-checked with tapeboard.com. Derived: cumulative % = close / Oct 9 close − 1, ours.
Mon Oct 12: Columbus Day, stocks open, bond market closed.

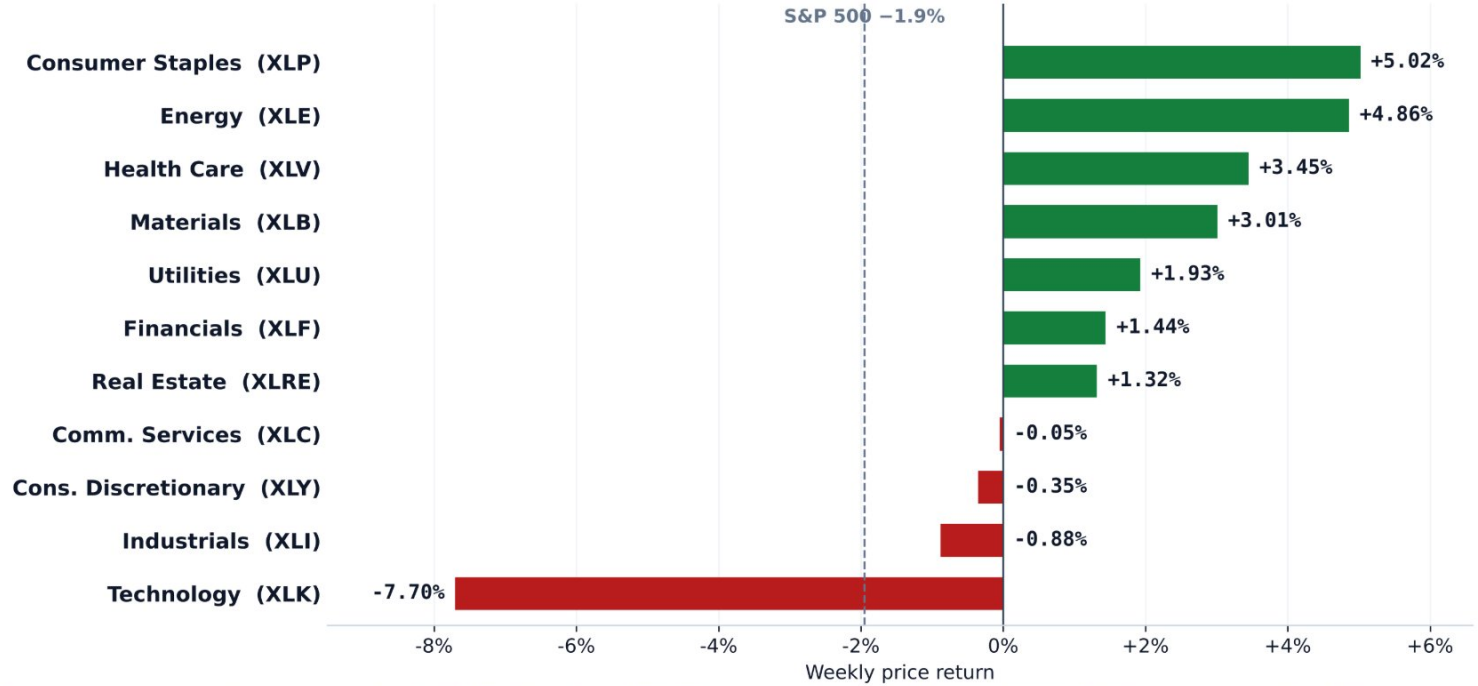
## SO WHAT

Nasdaq −4.5%, Dow +0.7%

Damage on Wed and Fri

First Nasdaq loss in five weeks

# Rotation: tech −7.7%, staples +5%



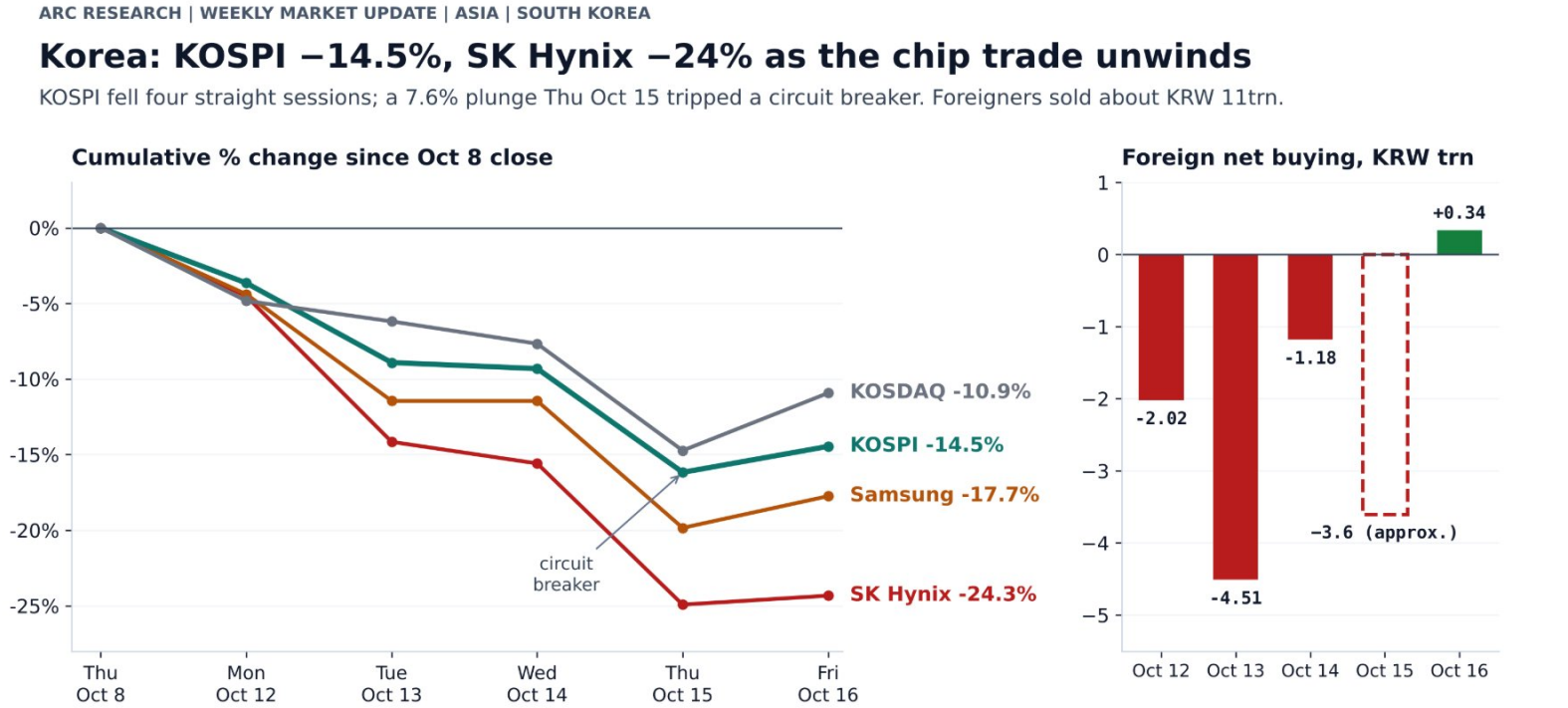

## SO WHAT

10 of 11 sectors beat the S&P

Defensives and energy led

Narrow loss, broad market fine

# Korea: KOSPI −14.5%, chips lead the rout




Sources: daily closes from Digital Today, Korea Herald, Kyunghyang (most days single-source); KRX closed Fri Oct 9 (Hangeul Day), so the base is Thu Oct 8. Cumulative % = close / Oct 8 − 1, ours. Foreign net selling of KOSPI stocks, KRW trillion, daily figures from Korea Herald / Yonhap reports; Oct 15 approximate (~3.6); weekly sum of about −11.0 trn is ours (no published total found). Circuit breaker Oct 15: Korea Herald. Samsung Q3 preliminary operating profit KRW 107.4trn (Oct 8, company guidance via press).

## SO WHAT

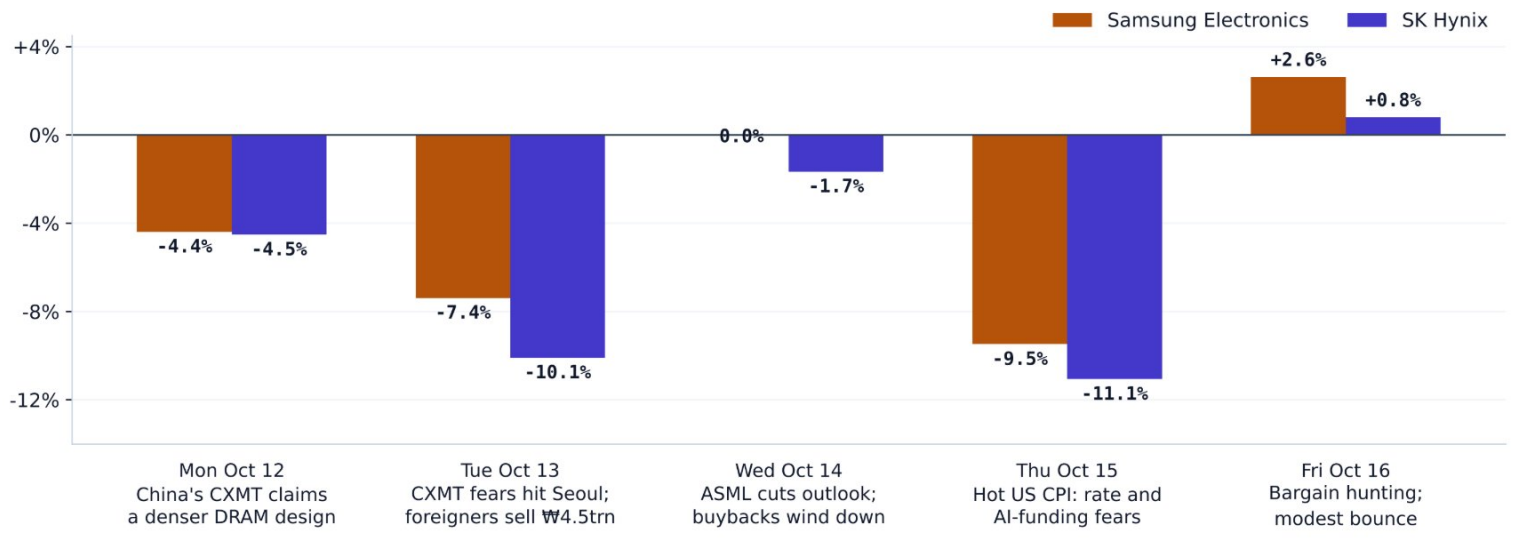
SK Hynix −24%, Samsung −18%

Circuit breaker Thu; foreigners sold ~₩11trn

Friday bounce: KOSPI +2%

Bank of Korea (3.00%) meets Oct 22

# Why Samsung and SK Hynix fell




## SO WHAT

China DRAM threat hit first

US CPI and rates did the rest

Buybacks over, no buyers

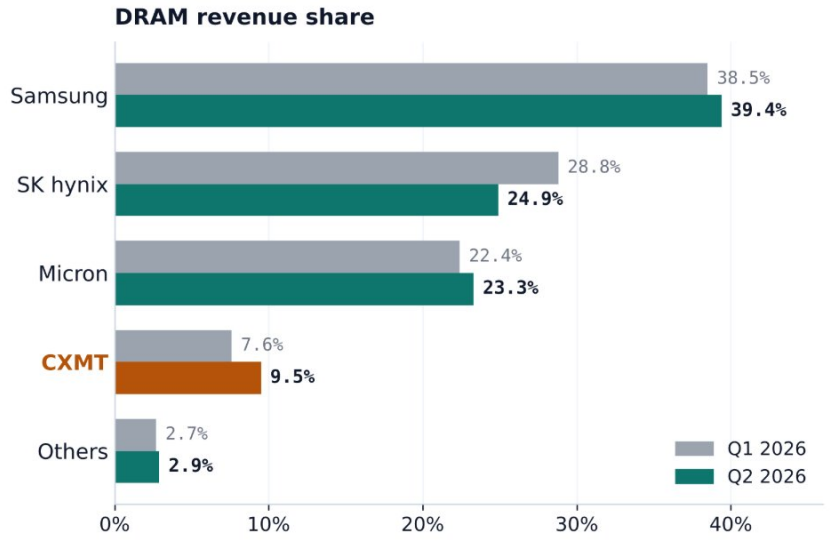
Profits still record

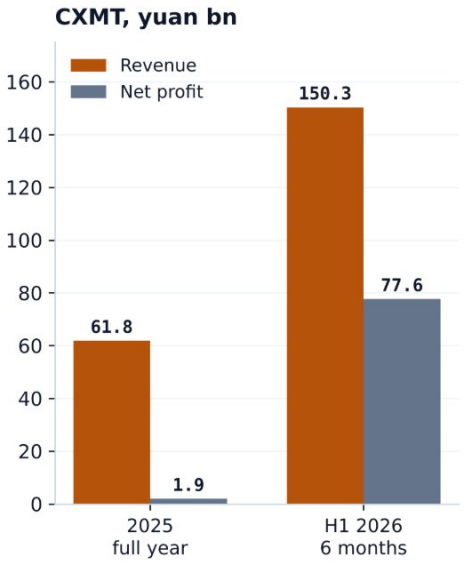
# CXMT: China’s DRAM challenger

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## CXMT: China's DRAM maker now holds 9.5% of the market

Its share of DRAM revenue rose 1.9 points in a quarter; its Oct 11 claim of a denser 4F² DRAM design hit Korean stocks.




Sources: DRAM revenue share, TrendForce via Evertiq (Sep 7, 2026); Q2 2026 industry revenue $154.7bn; others = Nanya, Winbond, PSMC and others (2.9% in Q2).
CXMT revenue and attributable net profit: 2025 from CXMT's Shanghai STAR Market filings (SSE; iTiger); H1 2026 from IndexBox (Aug 28, 2026), single source. H1 is six months, not a full year.
4F² claim: CXMT president Cao Kanyu, Shanghai, Oct 10–11 (Korea Times; Gulf News); not independently verified.

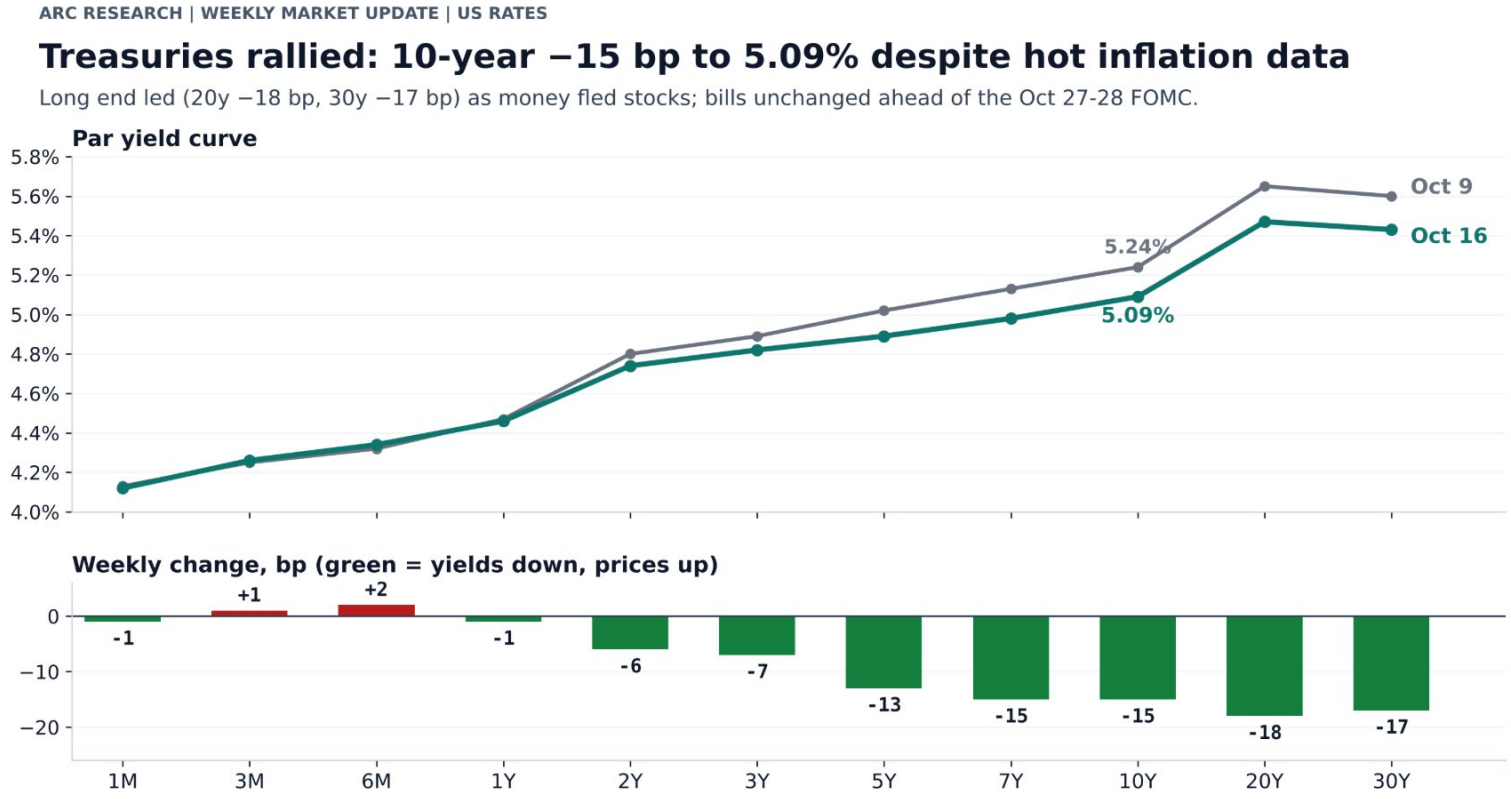



State-backed, Hefei, since 2016

No. 4 in DRAM, 9.5% share

4F² claim unverified

# Treasuries rally: 10-year −15 bp



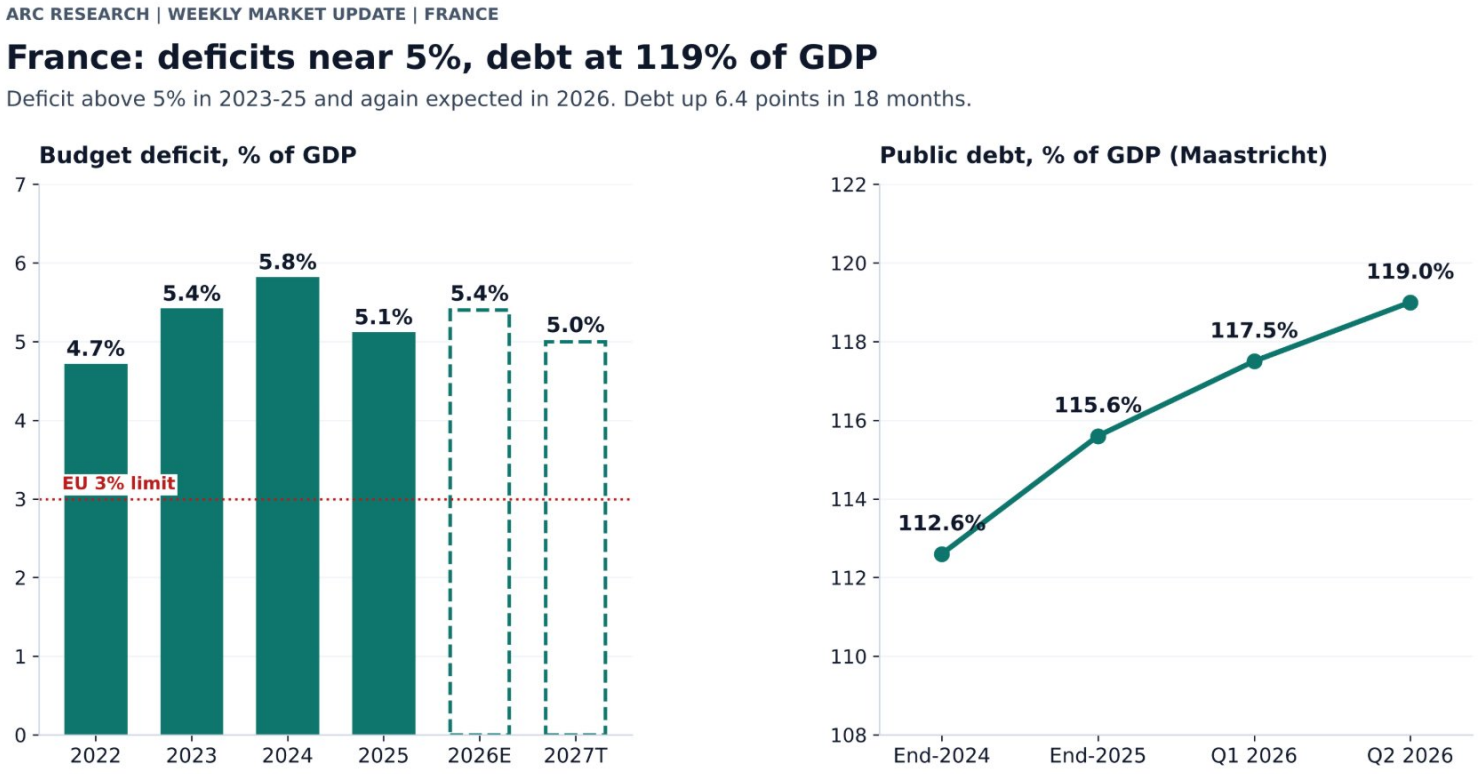

## SO WHAT

10-year 5.24% → 5.09%

Safety bid beat hot data

Still near 2002 highs

# France: 5% deficits, 119% debt




## SO WHAT

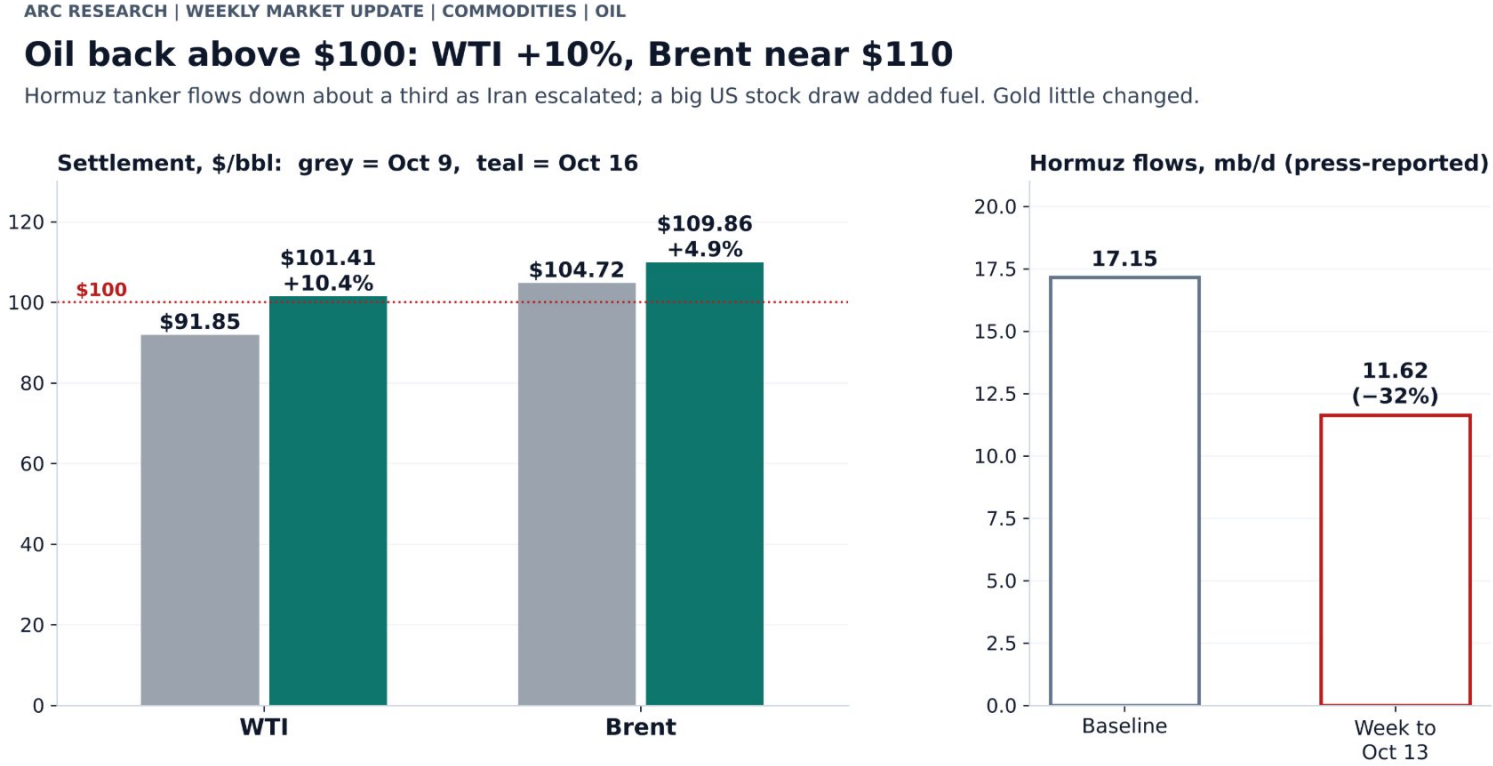
10-year OAT ~4.8%, near 2002 high

~137 bp over Bunds

Moody’s review Oct 23

MARKETS · COMMODITIES

# Oil back above $100



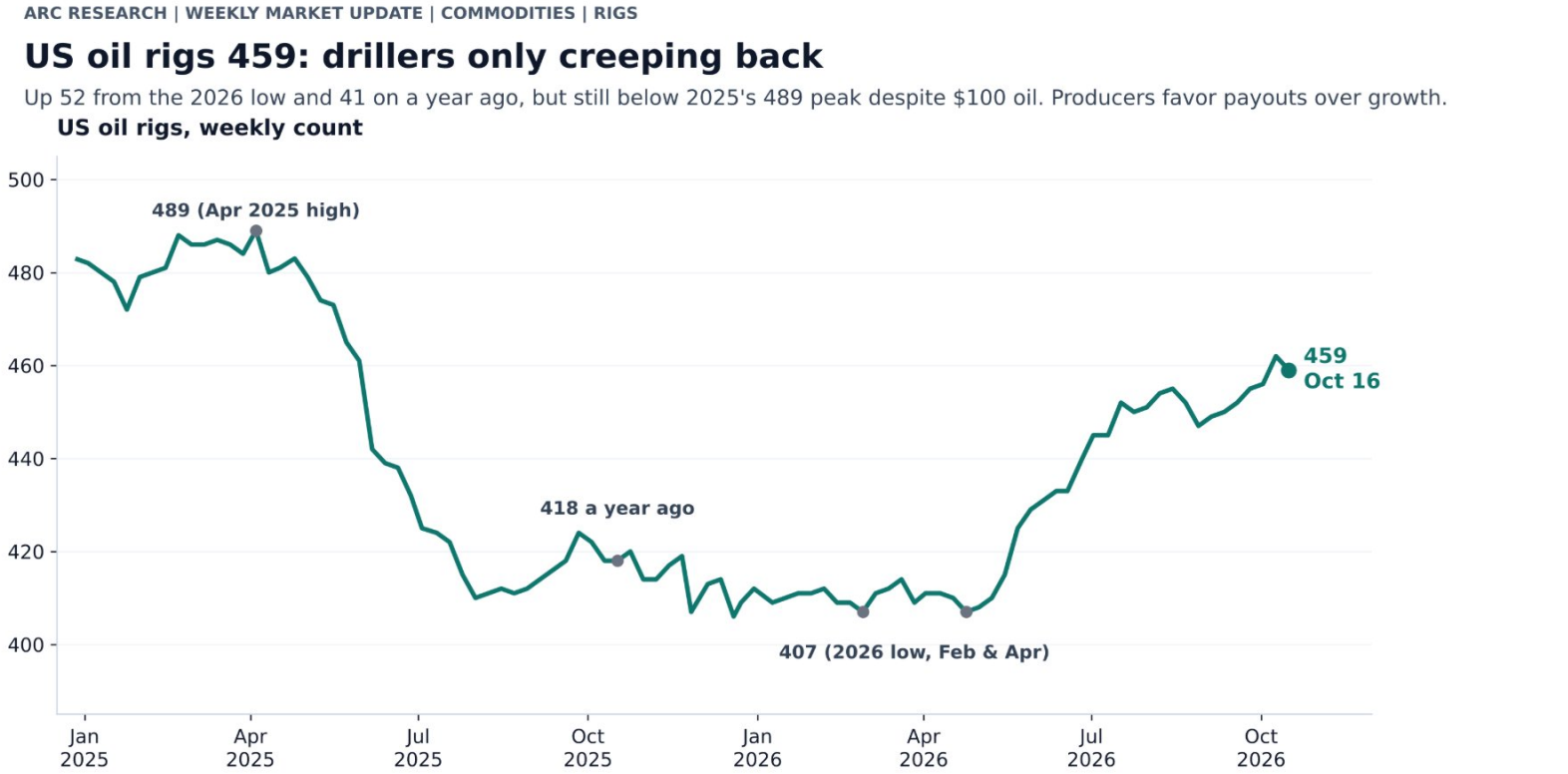

## SO WHAT

WTI $101, Brent $110

Hormuz flows down a third

Energy +4.9%; inflation risk

# US oil rigs 459: a slow response to $100




## SO WHAT

−3 on the week; +41 on a year

Still below 2025’s 489 peak

Discipline caps US supply

SECTION 3 OF 4

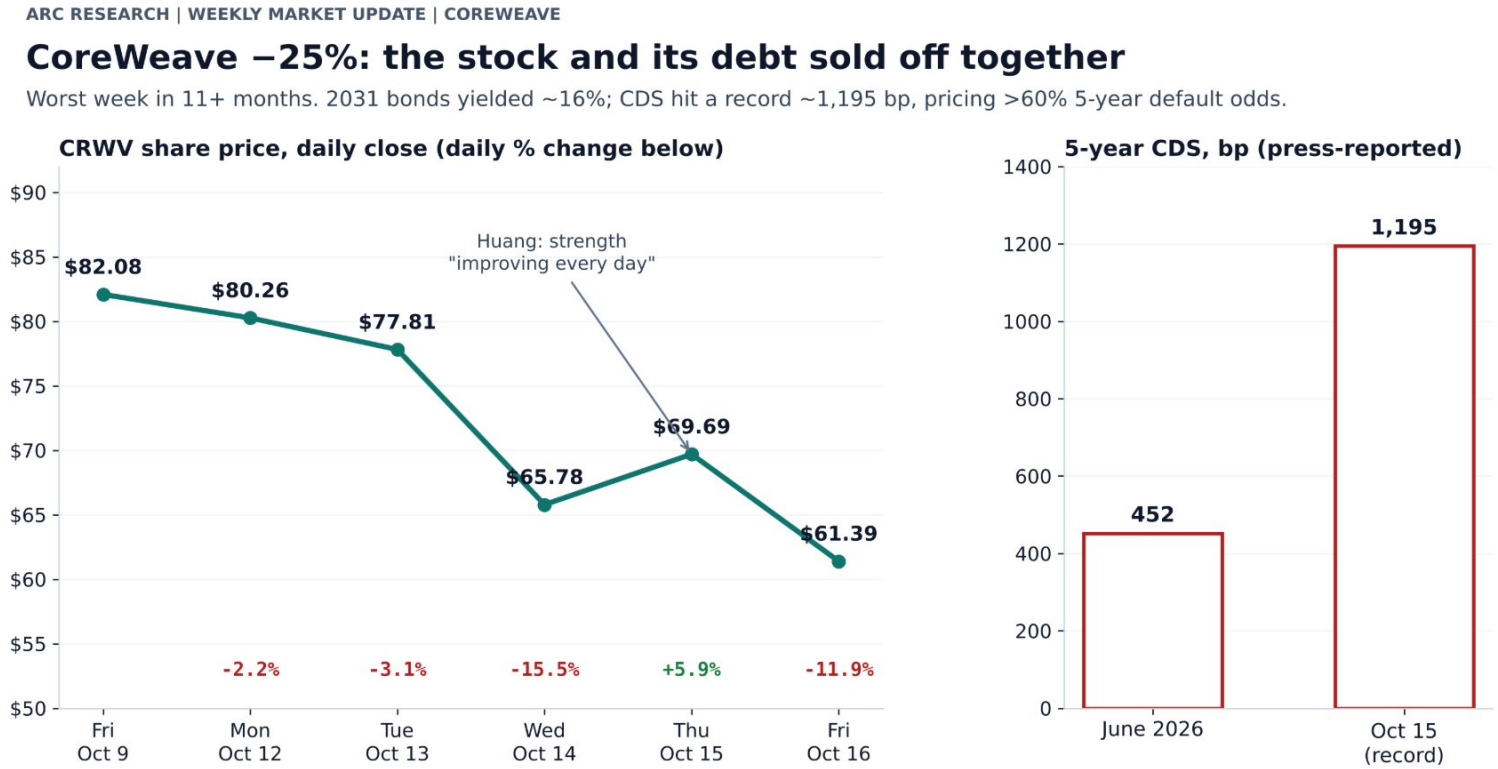
# AI

## AI debt gets priced; models keep shipping

### COMING UP

22 CoreWeave: stock and credit
23 CoreWeave under the hood
24 Contagion: neoclouds and chips
25 Morgan Stanley cuts AMD
26 AMD vs Nvidia GPUs
27 Why chip packaging matters
28 TSMC Q3 earnings
29 Microsoft drops Nscale UK site
30 Anthropic's investor day
31 DeepSeek V4.1-Flash-1017
32 Why it's not January 2025
33 The model leaderboard
34 Meta's Muse Wonder

# CoreWeave −25%: stock and debt sell off



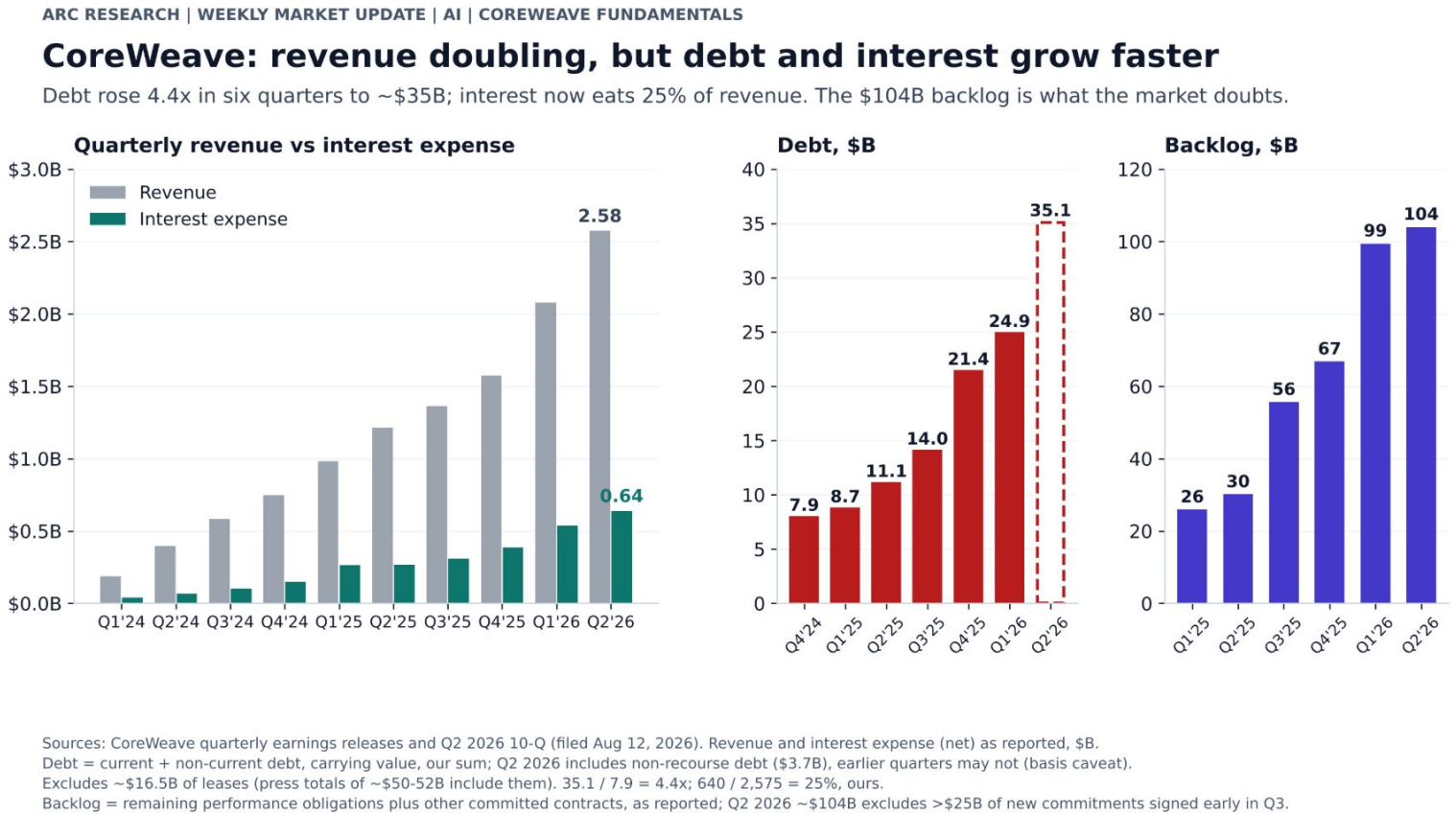

## SO WHAT

~$50B debt, ~16% bond yields

CDS imply >60% default odds

$104B backlog vs funding cost

# Debt is outrunning revenue




## SO WHAT

Interest = 25% of revenue

Top 2 customers: 62% of sales

2026 capex $35–39B

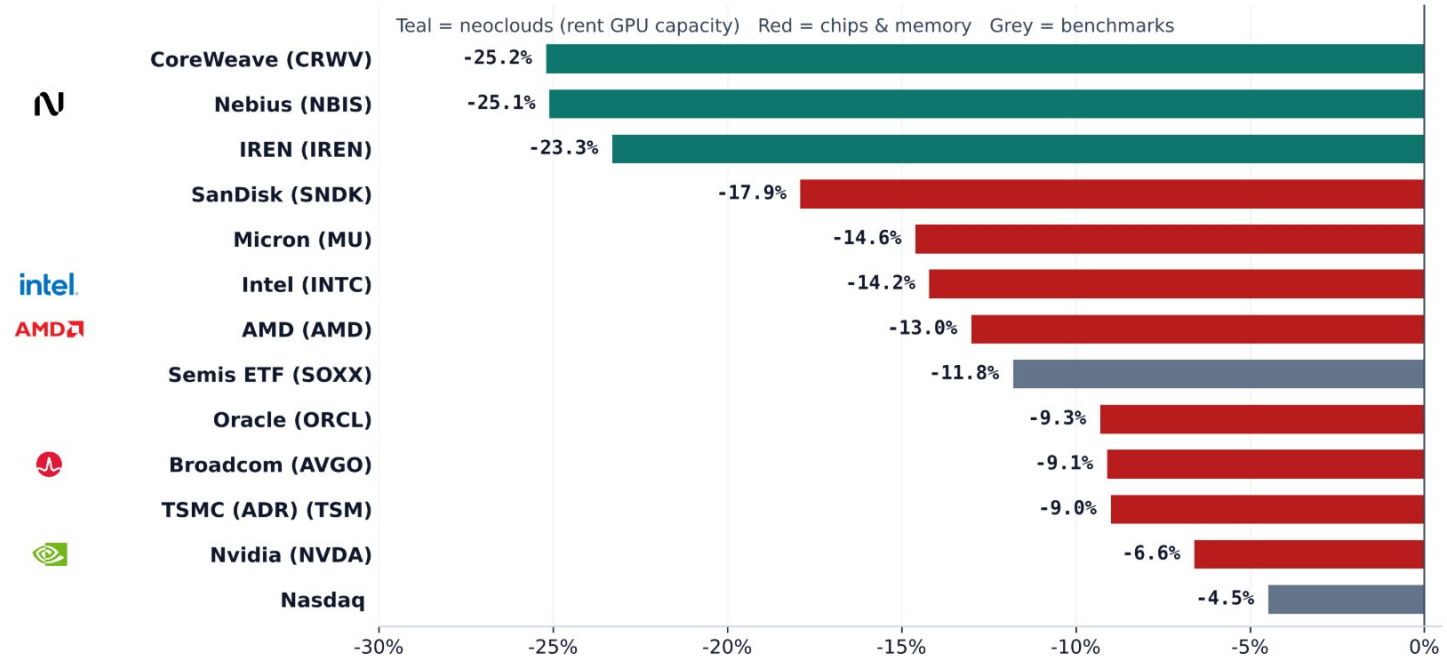
S&P rating B+

# Neoclouds fell hardest, Nvidia least

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## Neoclouds fell hardest; Nvidia lost least of the AI names

Debt-funded GPU renters (CoreWeave, Nebius, IREN) fell ~25%; memory next; Nvidia −6.6%. Chips fell 8 days in a row.




Source: StockAnalysis.com daily closes Oct 9 and Oct 16, 2026; weekly % = Oct 16 / Oct 9 − 1, ours. Nasdaq: AP. SOXX = iShares Semiconductor ETF (proxy for the SOX index).
SOX: 8th straight daily loss, longest since 2008 (press-reported, Investing.com). Reuters (via Roic News): semis index −11.6%, over $1.6T of value lost in six sessions to Oct 15.

### SO WHAT

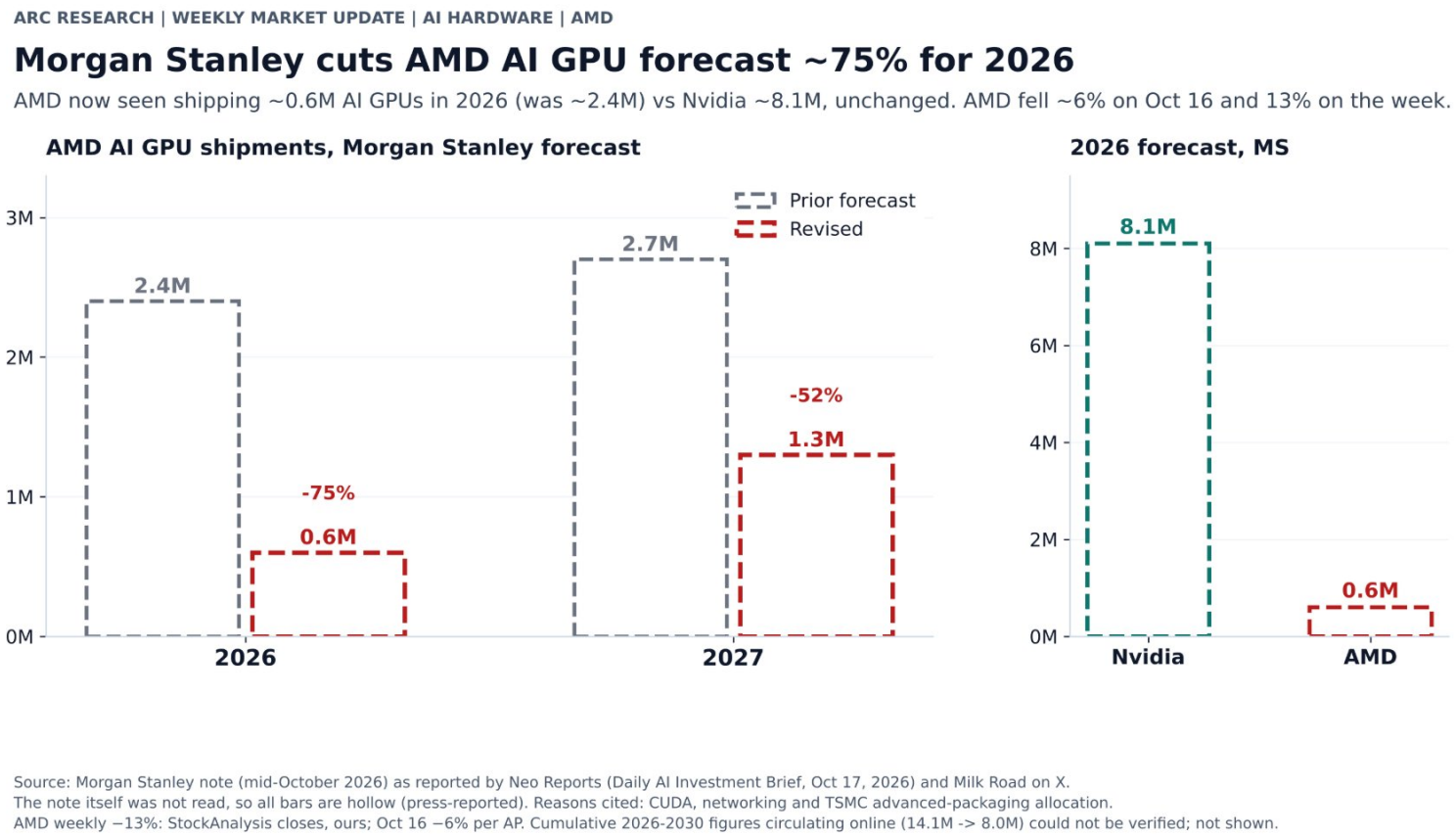
Leverage got punished most

Memory next: SanDisk, Micron

Chips down 8 days, most since 2008

AI · CHIPS · AMD

# Morgan Stanley slashes AMD GPU outlook



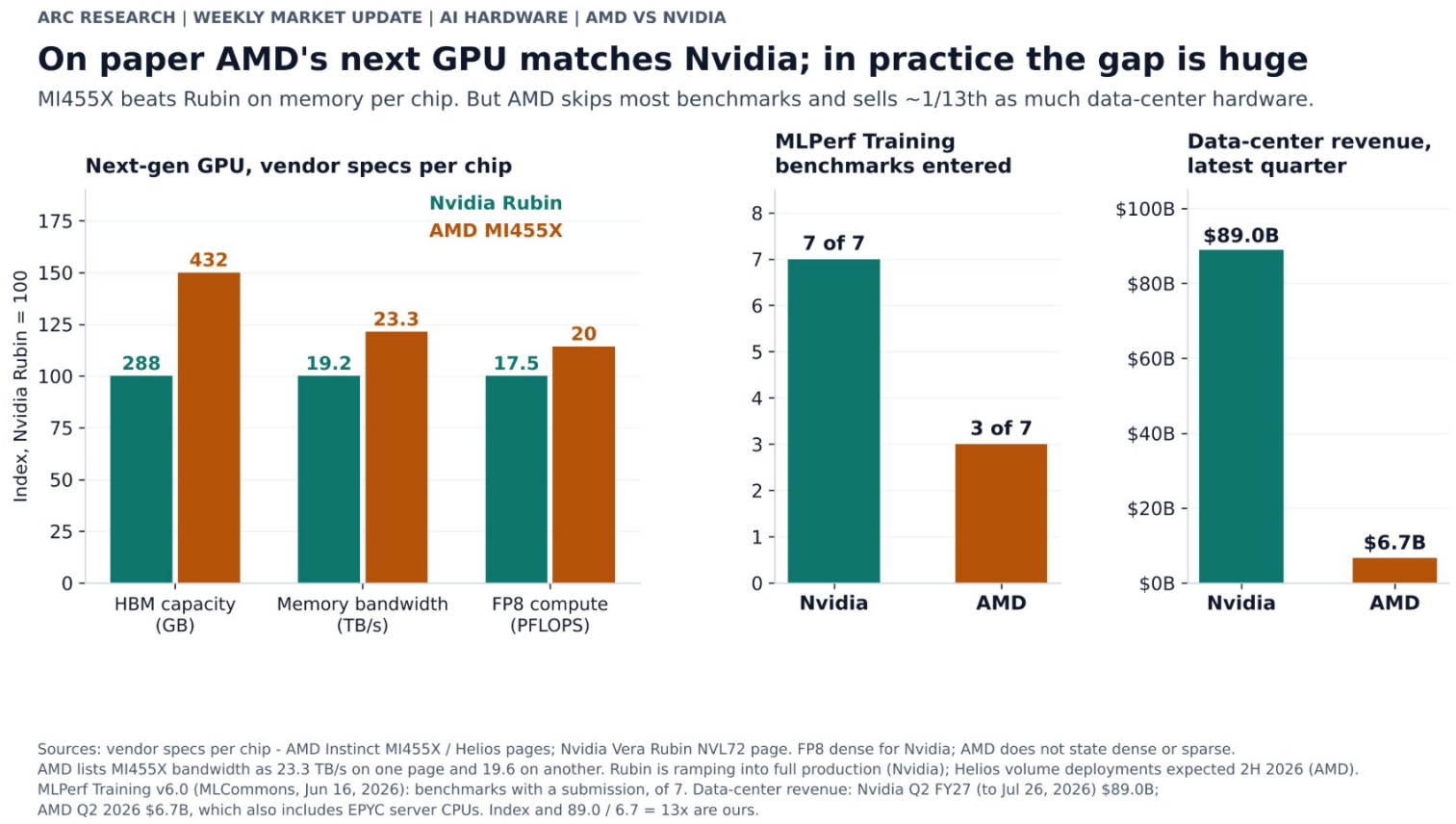

## SO WHAT

2026: 2.4M → 0.6M GPUs

Nvidia 13x AMD in 2026

AMD −13% on the week

# Specs match; the ecosystem doesn’t




## WHY MS CUT AMD

**CUDA:** software lock-in

**Networking:** rack-scale lead

**Packaging:** TSMC capacity goes to Nvidia (next slide)

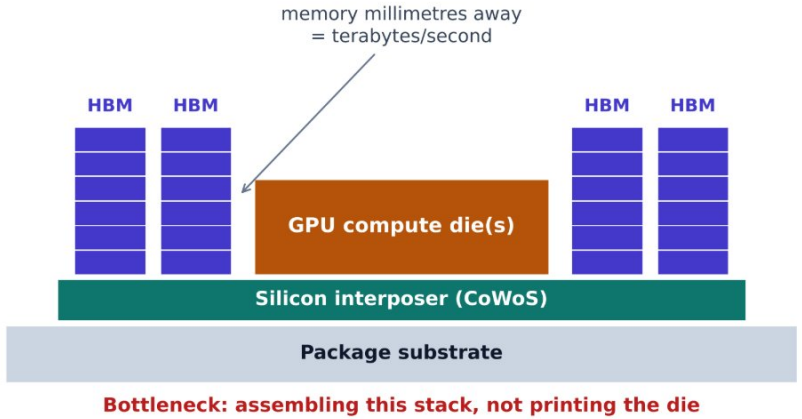
# Packaging decides who ships AI chips

ARC RESEARCH | WEEKLY MARKET UPDATE | AI HARDWARE | PACKAGING

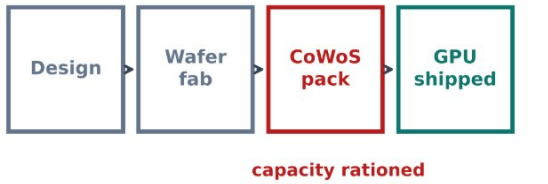
## Why packaging decides who ships AI chips

Every AI GPU is a compute die wired to HBM memory on a silicon interposer. TSMC's CoWoS lines that build this are the bottleneck.

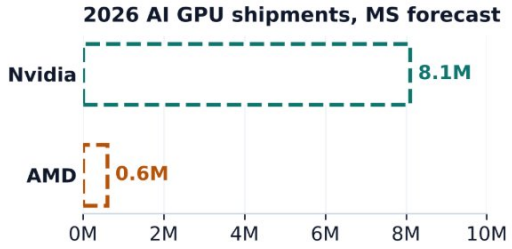
**Inside one AI GPU package (side view)**




**From design to shipped GPU**




**2026 AI GPU shipments, MS forecast**




Schematic, not to scale; illustrative. CoWoS = TSMC's chip-on-wafer-on-substrate packaging. Layouts vary by product (e.g. AMD MI455X lists 432 GB of HBM4, Nvidia Rubin 288 GB; vendor specs). Shipment forecasts (right): Morgan Stanley 2026, as reported by Neo Reports, Oct 17, 2026 (press-reported, hollow). An earlier MS estimate of CoWoS wafer allocation (AMD ~130k in 2026 vs Nvidia >1M in 2027) came via secondary summaries we could not verify, so it is not plotted.

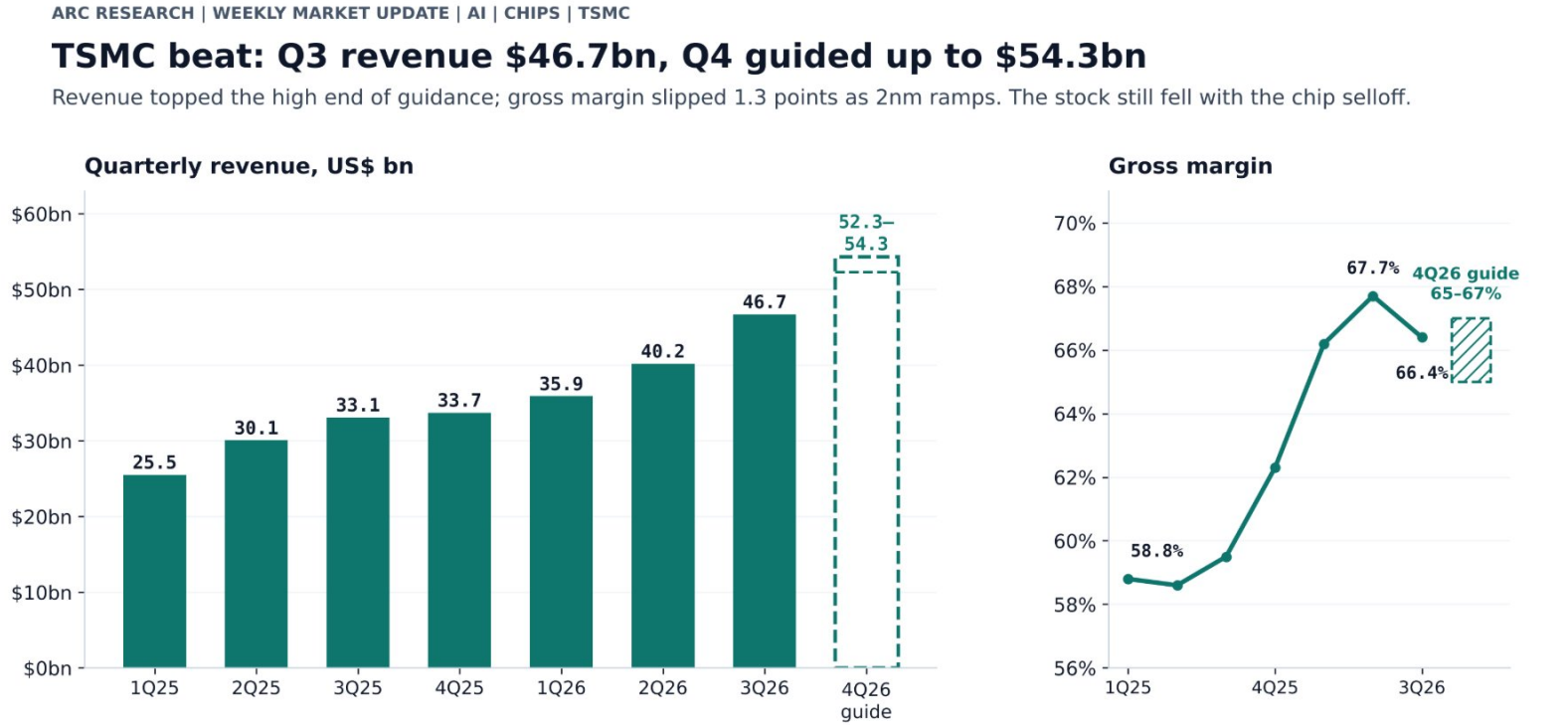
## SO WHAT

Assembly, not chips, is scarce

TSMC books Nvidia first

More capacity = AMD upside

# TSMC beat and raised; the stock fell anyway




## SO WHAT

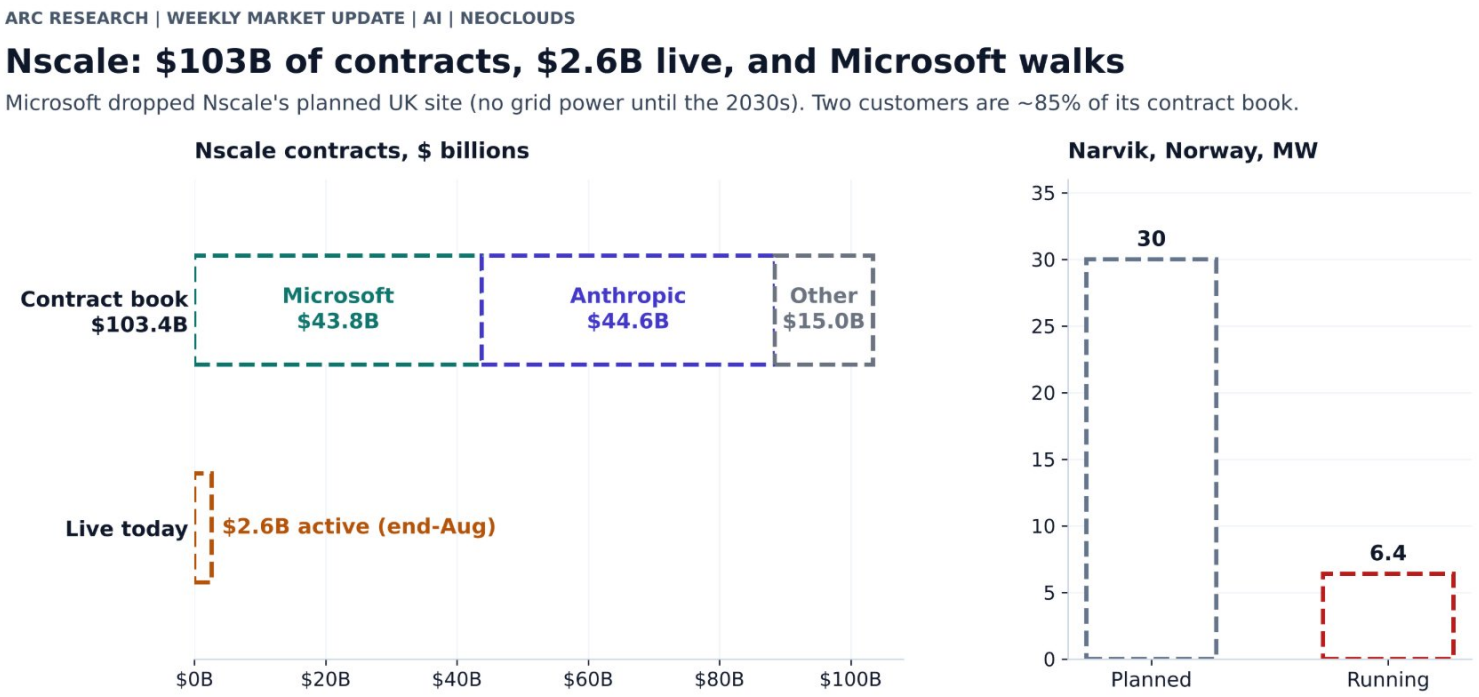
Revenue +41% y/y, above guide

2026 growth raised to ~44%

“No sign of slowdown” in AI

Margins, capex worried investors

# Microsoft drops Nscale’s UK site




## SO WHAT

No power until the 2030s

Backlog ≠ cash: 2.5% live

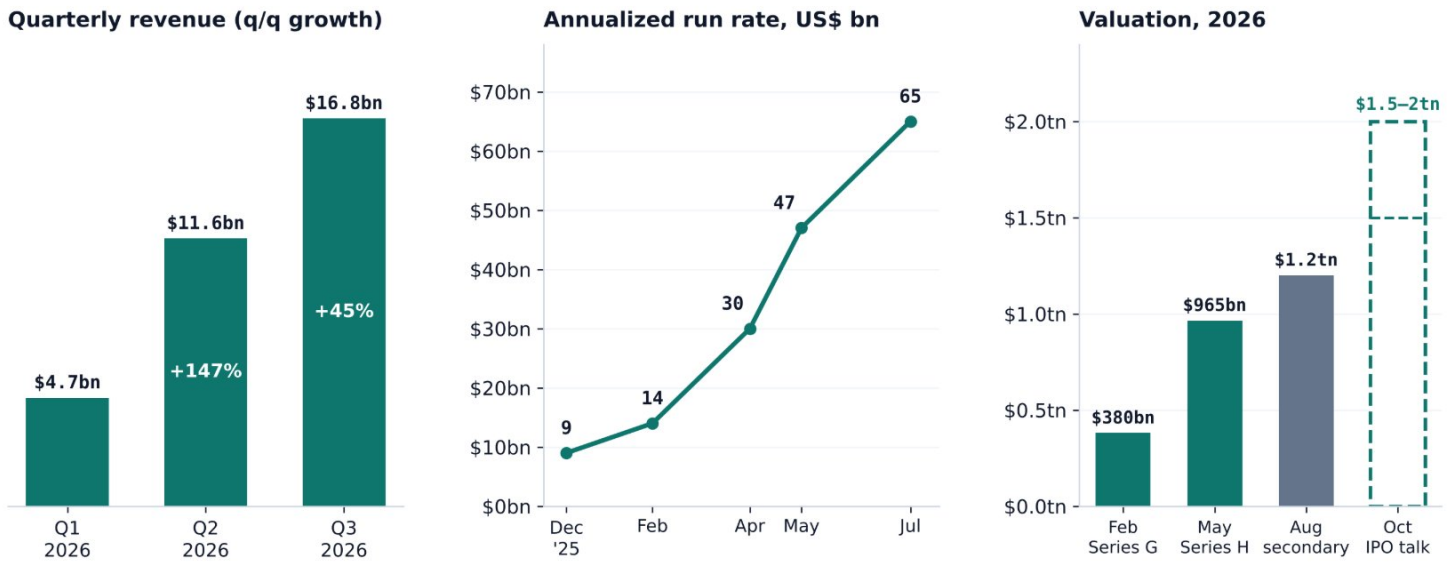
IPO timing now harder

# Anthropic: $16.8bn quarter, cooler IPO talk

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## Anthropic: Q3 revenue $16.8bn, but growth slowed to 45%

Investors at its Oct 14 pre-IPO investor day heard revenue and adjusted profit; some reportedly balked, and valuation talk fell to about $1.5tn.




Sources: quarterly revenue, Reuters (Oct 15–16, 2026, citing attendees of the Oct 14 investor day; not company-published); q/q growth ours. Run rate (annualized): Bloomberg (end-2025, Apr 6), Anthropic (Feb 12, May 28), Reuters (end-Jul, one source). Valuation: Anthropic Series G (Feb) and Series H (May) post-money; secondaries $1.2tn (FT, Aug); IPO talk $1.5–2tn (Reuters Oct 15–16; Bloomberg), drawn hollow and dashed. Run rate and quarterly revenue are different measures; not audited.

## SO WHAT

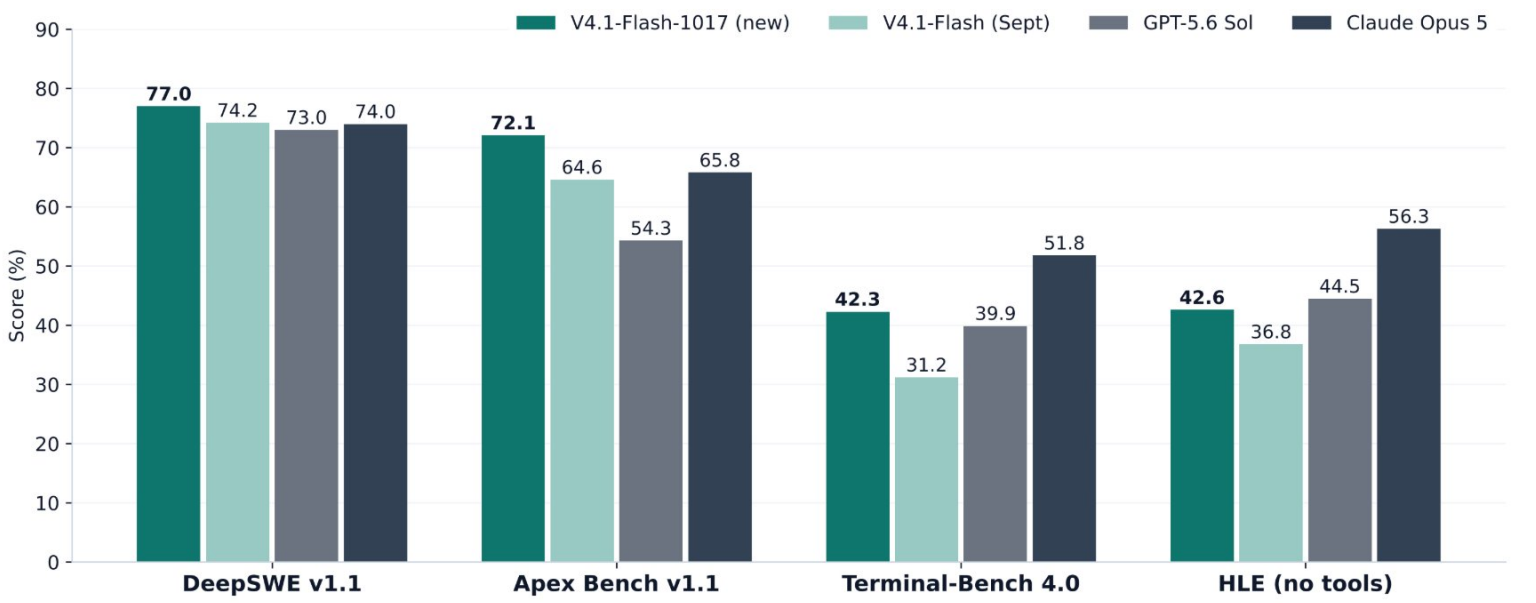
Q3 +45% q/q, profitable (adjusted)

Growth slowing from +147%

Valuation talk ~$1.5tn, from ~$2tn

IPO in November is the AI test

# DeepSeek’s new open model codes near the top




## SO WHAT

Out Sat Oct 17, MIT licence

$0.15 in / $0.60 out per 1M tokens

Cheap rivals test AI pricing

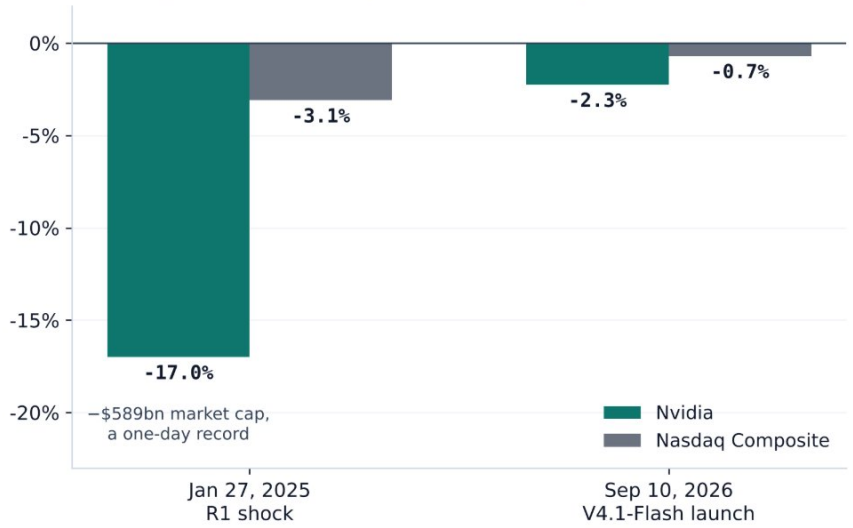
# Why this isn’t January 2025 again

ARC RESEARCH | WEEKLY MARKET UPDATE | AI | DEEPSEEK | THEN VS NOW

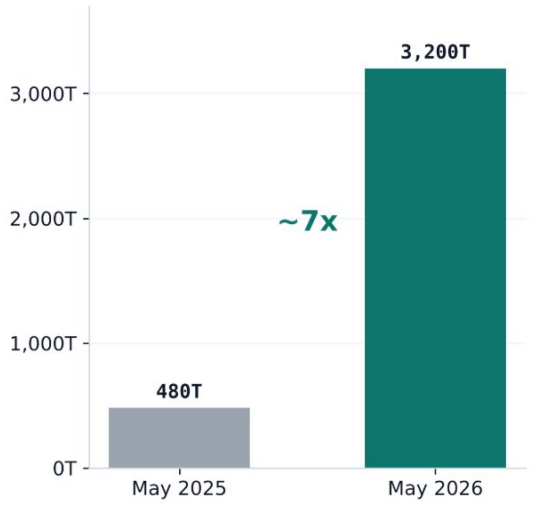
## Not another DeepSeek moment: no cost shock, and inference still needs GPUs

Jan 2025: a claimed $5.6M training run sank Nvidia 17% in a day. 2026: no training cost disclosed, and token demand keeps climbing.

**One-day move on a DeepSeek release day**




**Google tokens processed per month**




Sources: Jan 27, 2025 moves, Reuters (Nvidia −17%, Nasdaq −3.1%); Sep 10, 2026 (V4.1-Flash launch day), stockanalysis.com (Nvidia −2.3%) and AP (Nasdaq −0.7%); no report tied the Sep 10 moves to DeepSeek. Oct 17, 2026 release (V4.1-Flash-1017) came on a Saturday, so no US trading yet. V3 cost: DeepSeek-V3 technical report (2.788M H800 GPU-hours at an assumed $2/hour, final run only). Google monthly tokens processed: Google, as reported by Gigazine (May 20, 2026); 1 quadrillion = 1,000 trillion.

### SO WHAT

2025: “$5.6M” training shock

2026: no training cost disclosed

Long agent tasks still need GPUs

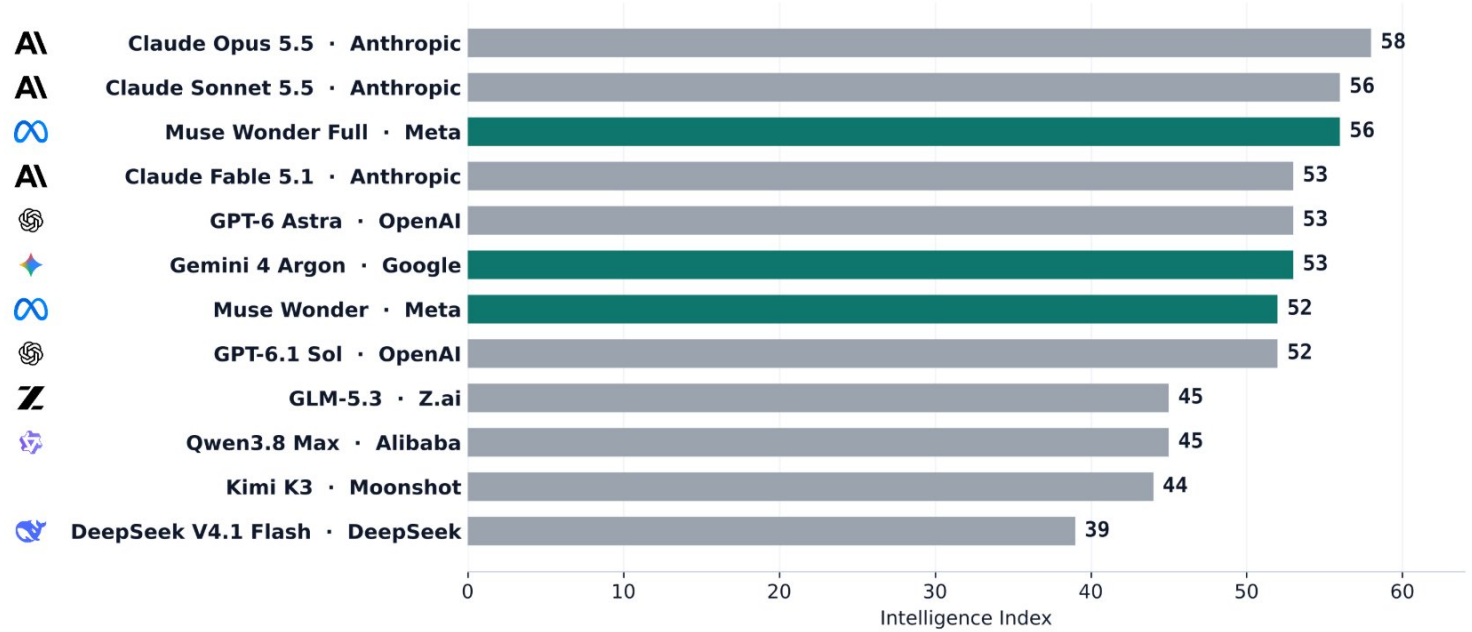
Cheap models now priced in

# Meta’s Muse Wonder Full ties for #2

ARC RESEARCH | WEEKLY MARKET UPDATE | AI MODELS | LEADERBOARD

## Meta's new Muse Wonder Full ties for #2 on the AA index

Meta released Muse Wonder (Oct 12); Google widened Gemini 4 Argon access (Oct 13). DeepSeek's Oct 17 update is not scored yet.




Source: Artificial Analysis Intelligence Index leaderboard, fetched Oct 18, 2026 (no version or date shown); best effort variant per model. Teal = released or widened this week.
Release dates: BenchLM, LLM Gateway and nocode.mba trackers. Open vs proprietary not shown (not listed on the leaderboard page).
DeepSeek row = Sept V4.1-Flash; the Oct 17 update is not yet on AA.

### SO WHAT

Opus 5.5 still #1 at 58

Meta back near the frontier

Best open models ~45

AI · META MUSE

# Meta’s Muse Wonder: back at the frontier



Jollybot, Muse’s mascot since Connect (Sept 2026)

**56**
AA index, tied #2 (Wonder Full)

**+8**
points vs Muse Spark (48)

**$4 / $20**
per 1M tokens, in / out

**+3.4%**
META on launch day

THE BILL

Q2 capex $30.1B, +82% y/y

SECTION 4 OF 4

# Week ahead

Tesla and big tech report, France votes, then the Fed

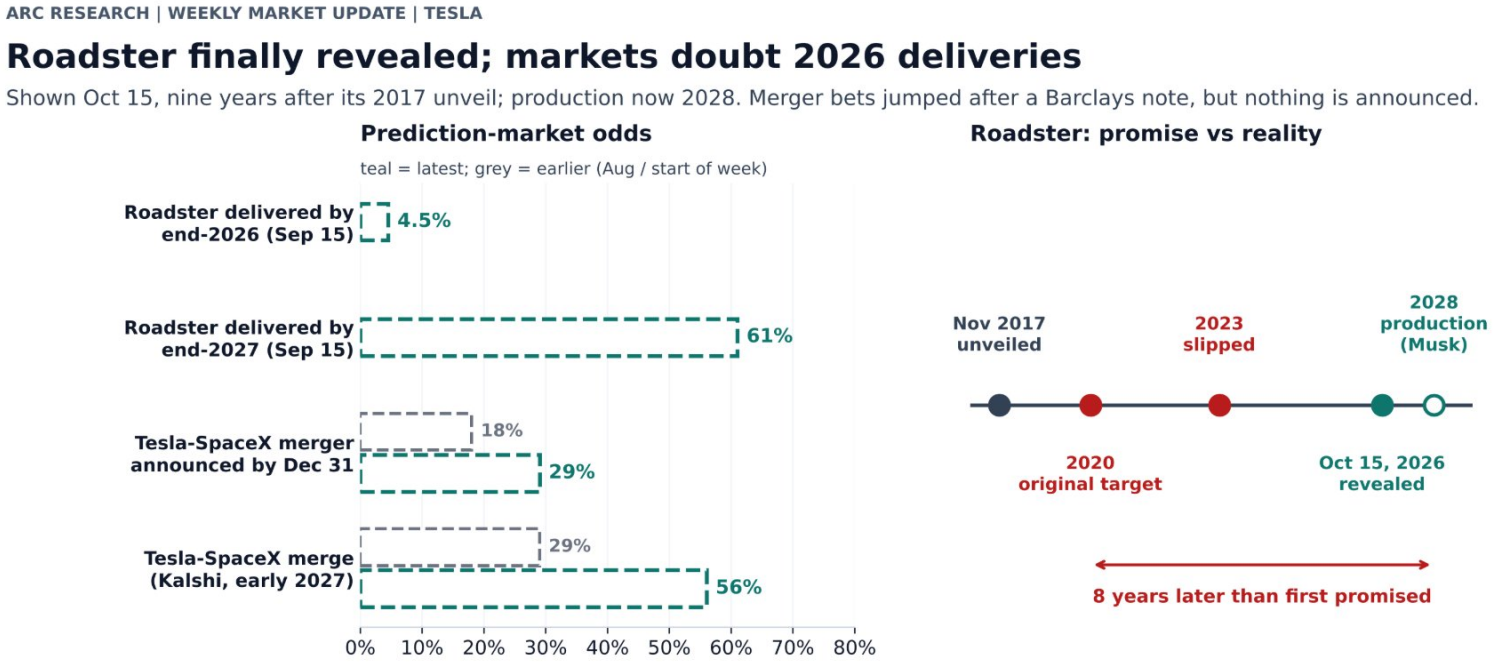
COMING UP

36 Tesla: Roadster and merger odds

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# Roadster shown, merger bets jump




Sources: prediction-market prices are press-reported, not read from the exchanges (hollow bars). Kalshi 'Tesla and SpaceX merge' (early-2027 contract): 29% earlier in the week -> 56% Oct 16 (NewsBytes, briefs.co citing CNBC). Polymarket 'merger officially announced by Dec 31': ~18% early Aug, ~25-29% Oct 14-15 (Crypto Briefing; ranges where sources differ, upper value shown). Polymarket 'Roadster delivered by...' end-2026 4.5%, end-2027 61%, read Sep 15 before the reveal (PredScope). Timeline: Tesla 2017 unveil; Musk statements as reported by Electrek, Reuters.

## SO WHAT

2026 Roadster: ~5% odds

Merger odds 29% → 56%

No deal announced or filed

TSLA −7.3% on the week

MACRO · WEEK AHEAD

# Big tech reports, France votes, Fed nears

| | | |
|---|---|---|
| **Mon Oct 19** | China Q3 GDP | Consensus 4.4% |
| **Tue Oct 20** | Netflix earnings · US housing starts | France budget vote expected |
| **Wed Oct 21** | Tesla, Meta, IBM, TI, Lam, SAP earnings | AI capex test |
| **Thu Oct 22** | Jobless claims · P&G, Lockheed, Comcast | Leading indicators · Bank of Korea decision |
| **Fri Oct 23** | Flash PMIs · Moody’s on France | AmEx, Exxon earnings |
| **Oct 27–29** | **FOMC Oct 27–28 · ECB Oct 29** | Oct hike ~15–28%; Dec ~89% |

SOURCES

# Where the numbers come from

**Equities:** AP daily index closes; tapeboard.com sector and VIX data; StockAnalysis.com stock closes
**Rates:** US Treasury daily par yield curve; CME FedWatch via Yahoo Finance and Kitco
**Oil:** PFL Petroleum settlement reports; oilprice.com; EIA via press; CNN

**France:** INSEE deficit and debt releases; Banque de France; Trading Economics; Allianz Trade; ING; Euronews
**Fed:** press reports of Warsh, Daly, Goolsbee, Barkin; Beige Book; CME FedWatch via Yahoo
**CoreWeave:** earnings releases, Q2 10-Q; Reuters; Bloomberg; CNBC; CNN

**CXMT:** TrendForce via Evertiq; Korea Times; Gulf News; SSE filings; IndexBox; Reuters
**Anthropic:** Reuters; FT; Bloomberg; TNW; Anthropic funding releases

**AI models:** DeepSeek Hugging Face model card and API pricing page; Artificial Analysis leaderboard (fetched Oct 18)
**Model releases:** BenchLM, LLM Gateway and nocode.mba trackers

**US macro:** BLS (CPI, PPI, import prices); Census Bureau retail sales; consensus from investinglive, Dow Jones, Advisor Perspectives
**Banks:** Q3 releases and 8-Ks; call summaries; Fed Z.1 via FRED (prime brokerage)
**Rigs, Nscale, Tesla:** Baker Hughes via AOGR; Telegraph; Kalshi, Polymarket odds via press
**South Korea:** Korea Herald; Digital Today; Kyunghyang; Korea Times; Trading Economics; HeyGoTrade; TIKR
**TSMC:** Q3 2026 release and 6-K; Focus Taiwan; call transcript; Techloy; TrendForce
**Logos:** @lobehub/icons-static-svg and simple-icons (npm)

Each chart footer names its exact source and formulas. “Press-reported” marks figures seen only in news coverage. Educational purposes only, not investment advice.